

FLEX SELECT

PRIMARY RESIDENCE				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	90	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and non-Warrantable), Condotels Co-ops and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	90	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	85	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	80	75	
	2,000,000	80	75	
	2,500,000	75	70	
	3,000,000	70	65	
660	1,000,000	80	70	
	1,500,000	75	65	
	2,500,000	70	60	
SECOND HOME				
Min Credit Score	Max Loan Amount	Max LTV / CLTV Purchase / Rate & Term	Max LTV / CLTV Cash-Out Refinance	Property Type
760	2,000,000	85	80	Single Family, PUD, Manufactured Housing, Condominiums (Warrantable and Non- Warrantable), Co-ops, Condotels <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	

INVESTMENT PROPERTY				
Min Credit Score	Max Loan Amount	Max LTV Purchase / Rate & Term	Max LTV Cash-Out Refinance	Property Type
760	1,500,000	85	80	Single Family, PUD, Condominiums (Warrantable and non- Warrantable), Co-ops, Condotels and 2-4 Units <i>See restrictions under General Requirements below</i>
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
740	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
720	2,000,000	80	80	
	2,500,000	80	75	
	3,000,000	80	70	
	3,500,000	75	70	
700	1,500,000	80	80	
	2,000,000	80	75	
	2,500,000	80	70	
	3,500,000	75	70	
680	1,500,000	75	70	
	2,000,000	75	70	
	2,500,000	70	65	
	3,000,000	65	60	
660	1,000,000	75	65	
	1,500,000	70	60	
	2,500,000	65	55	

OVERVIEW

The Flex Select Program is designed to cover the widest range of income documentation types, housing history, and other program specific options.

GEOGRAPHIC RESTRICTIONS

DC	Investment Properties are ineligible
FL	- Non-Permanent Resident Aliens from the Peoples Republic of China are ineligible. - Charlotte, Lee, Hendry, and Glades Counties: Investment Properties are ineligible.
HI	Permitted for Delegated Correspondents only. Ineligible Non-Delegated Correspondents and Wholesale.
IL	- Cook County: All occupancies are ineligible. - Kane, Peoria and Will Counties: Ineligible for TRID loans – Restriction does not apply to Correspondents.
IN	Indianapolis: Investment Properties are ineligible
MD	Baltimore City: All occupancies are ineligible.
NJ	Patterson: Investment Properties are ineligible.
NY	- Permitted for Correspondents only. Ineligible for Wholesale. - Brooklyn: Investment Properties are ineligible. - Orange County: All occupancies are ineligible. - No 5/6 ARMs on Investment Property loans below the FNMA loan limit. - See NY Subprime section for requirements.
TX	Lubbock: Investment Properties are ineligible

GENERAL REQUIREMENTS

Exceptions	Permitted except for P&L Only and Express DU
Product Type	40 Year Fixed, 30 Year Fixed, 15 Year Fixed 40 Year Fixed I/O (10 year I/O period, and remaining term fully amortizing) 5/6 SOFR ARM, 30 Year Term – Fully Amortizing 5/6 SOFR ARM I/O, 30 Year Term and 40 Year Term 40 Year products and terms are not permitted for Manufactured Housing - I/O products are not available for Express (DU)
Interest Only (I/O)	- Min Credit Score: 680 - Max LTV: 80% - Max DTI 50% - Not permitted on Manufactured Housing
Loan Amounts	- Minimum: \$125,000 and Max \$3,500,000 - Loan Amounts \$125,000 - \$149,999 require a 5% reduction in LTV
2- 1 Buydown	- Purchase Only - Minimum Score 680 - Max LTV 80% - Max DTI 50% 30 Year Fixed Only - Qualify using Note Rate - Primary Residence, Second Home and Investment Properties - Seller or Builder Funded Only - Lender Paid or 3rd Party Buydowns are permitted for Correspondent Clients only
Occupancy	Primary Residence , Second Home, and Investment Property
Loan Purpose	Purchase, Rate & Term Refinance, Cash Out Refinance, and Debt Consolidation
Cash Out Refinance	- Minimum of six (6) months seasoning from most recent transaction. - Max cash-out (defined as cash in hand): - If LTV <= 60% = Unlimited - If LTV > 60% = Max \$1,000,000 or unlimited with 18 months reserves exclusive of cash back - Condos: Max 75% LTV - Condotel: Max LTV 65% with 700+ credit score; 60% with a 680 credit score; Max cash-out \$250,000
Interested Party Contributions	- Primary Residence and Second Homes: <= 75% LTV = 9% > 75% = 6% - Investment = 6%
Subordinate Financing	Permitted on Primary Residence and Second Homes only
Escrow Waivers	- Waiving escrows for taxes and insurance* is allowed on non-HPML loans if housing/rental history is 0x30x12, up to 80% LTV - CA: Minimum score 700, up to 90% LTV - Waiver of escrows is not permitted on the following: - Flood Insurance premiums for properties located in zones A or V - Note however that taxes and hazard escrows can be waived provided the escrow waiver requirements are met and the loan is priced with an escrow waiver *Elective flood insurance policies for properties not located within a flood map/zone which does not require flood insurance coverage, are not required to be escrowed.
Prepayment Penalty	- Required on Investment Properties when permitted. See the “Business Purpose Licensing & PPP Restrictions” PDF in the Documents Tab in the Client Portal. - No PPP – permitted Correspondent only
Age of Loan Documentation	- Credit: 120 days - Income and Assets: 90 days

BORROWER ELIGIBILITY

Borrower Eligibility	<u>Eligible:</u> • U.S. Citizens • Permanent Resident Alien • Non-Permanent Resident Alien	<u>Ineligible:</u> • ITINs • DACA • Foreign Nationals
Non-Occupant Co-Borrower	• Primary Residence only • Max DTI Total DTI 50% • No Cash-Out Refi ; Rate & Term Refinance Refi (non-occupant must be on current loan) • Non-occupant co-borrower must be a relative • Max Loan Amount \$1,000,000	
First Time Homebuyer (FTHB)	• Permitted to a max loan size of \$1,500,000 on Primary Residence, Second Homes, and Investment Properties	

CREDIT REQUIREMENTS

Credit Score	• Minimum credit score 660 is required • The Representative Score is based on the primary wage earners'* credit score, qualify as follows: ◦ Middle of 3 credit scores or lower of 2 credit scores • Additional borrowers must have a minimum credit score of 600 • P&L Only: all borrowers must have a minimum credit score of 700 • * For Asset Utilization use the highest Representative Score for all borrowers
Tradelines	• Tradeline requirements are waived with three (3) credit scores • Spouses may combine trades • Primary borrower has 3 credit scores: or • 2 open and reporting trades 24 months; or • 3 open and reporting trades 12 months; or • 24-months mortgage rating reporting on credit report

Housing History and Housing Event Seasoning Restrictions

Housing History	1x30x12	2 x 30 x 12	0x60x12	0x90x12 Primary Residence Only
BK/FC/SS/DIL/Mod	>=4 Years	>= 3 Years	>= 2 Years	>= 1 Year
Max LTV/CLTV	90%	80%	70%	65%
Max LTV Cash Out	80%	75%	70%	NA
Max Loan Amount	\$3,500,000	\$3,000,000	\$2,000,000	\$2,000,000

The above chart displays the options available for a borrower that has experienced a housing event and/or housing delinquency. Example: a borrower can have rolling 30 day lates on prior housing in the last 12 months and qualify with a 0x60x12.

DTI AND RESIDUAL INCOME REQUIREMENTS

DTI Requirements	• Max 50% • 40 Year Fixed Must Qualify as a 30 Year at <= 55% DTI. • 55% DTI (>50% to 55%) with the following restrictions: ◦ Minimum credit score 680 ◦ Max 80% LTV ◦ 0x30x12 ◦ Interest-Only is not permitted ◦ Max loan amount \$2,500,000 ◦ 40 Year term not permitted ◦ 4 years seasoning for housing events required ◦ 2-1 Temporary Buydowns are not permitted ◦ Minimum monthly residual income of \$3,500 is required.
Residual Income	• Applies to HPML loans or when the DTI > 43% on Primary Residence and Second Homes only • Defined as Gross Monthly Income less Total Monthly Obligations • Requirement based on # in household: ◦ 1 person = \$1,500

	○ 2 persons = \$2,500 ○ Add \$150 per additional household member (related or unrelated)
INCOME REQUIREMENTS	
General Requirements	
Self-Employment History	• Self-employment history of >=2 years is required. If self-employment history is < 2 years • Self-employment 18+ months with 3+years prior experience in the same line of business • Self-employed borrowers in a licensed profession (i.e., Medical, Legal, Accounting) will be considered from a business that has been in existence for less than two (2) years, but greater than one (1) year provided the borrower meets the following requirements: ○ Borrower has at least three (3) years of documented previous experience in the same profession, or ○ Evidence of formal education in a related field, and ○ Minimum credit score: 700; Max LTV: 80% Primary Residence / 75% Second Home / 70% Investment Properties
Full Documentation	
Wage Earners	• 30 days of paystubs reflecting YTD earnings, 1 or 2 years W-2 or an electronic verification of employment, W-2 Transcripts and a fully executed and signed IRS Form-4506C
Self-Employment	• 1 or 2 years of personal and business Federal Tax Returns, YTD P&L, Tax Transcripts , 2 months of most recent bank statements to support the income on the P&L
Rental Income	• Rental income on the Tax Returns: ○ When tax returns are used to qualify, an average of 2 years of rental income will be used unless the income is declining in which case the most recent years 'income will be used for qualifying ○ Cash flow Analysis of the Schedule E should be completed • Rental Income NOT on the Tax Returns: ○ Evidence of borrower's ownership of the property ○ For a refinance and/or to document rental income on other REOs: ▪ Lease agreement ▪ Two months of bank statements demonstrating receipt of rental income. ▪ Evidence the rental amount is at market rate, which can be documented via a 1007 or through an online source. ▪ 75% of the rental amount on the lease is used for qualifying
Alt Doc - Income Requirements	
Personal Bank Statements	• 12 or 24 months of personal and 2 months of business bank statements • Qualifying income is determined by the total eligible deposits from the 24 or 12 months of personal statements divided by the number of statements • The business bank statements must reflect business activity and transfers to the personal account
Business/Co-Mingled Bank Statements	• 12 or 24 months of business bank statements. Qualifying income is determined by ONE of the following analysis methods: • Fixed Expense Ratio (50%); OR • Expense ratio provided by a 3rd party (CPA or EA) min ratio of 20%, OR • 3rd party prepared Profit & Loss Statement (CPA or EA)
P&L Plus 2 Months Bank Statements	• Max 80% LTV • 12 or 24 months P&L; prepared by CPA/EA or PTIN licensed tax preparer • CPA/EA/PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns • Verbal verification of P&L is required prior to closing • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income • Minimum of 2-months business bank statements • The monthly gross revenue on the P&L must be supported by the bank statements
P&L Only	• Exceptions are not permitted. • Not permitted for borrower's with less than 2 years in the current business

	• Max Loan Amount \$1,500,000 • 700+ credit score required for all borrowers • Max LTV is the lesser of the LTV on the Program Matrix or: • 80% Primary Residence • 75% Second Home and Investment Properties • 12 or 24 months P&L prepared by CPA/EA or PTIN licensed tax preparer • Minimum expense ratio is 10% • CPA/EA/PTIN licensed tax preparer must also attest to having prepared the borrower's most recent tax returns • Verbal verification of P&L is required prior to closing. • Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L • Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income	
IRS Form 1099	• 1 or 2 years IRS Form 1099 • Fixed Expense Ratio of 10%	• YTD Documentation to support continued receipt of income from same source, is required only when the most recent 1099 is >90 days from the note date
WVOE	• Maximum loan amount \$1,500,000 • Minimum credit score 680 for Primary Residence max 80% LTV; Second Home and Investment Property max 75% LTV • 0x12x30 housing history is required; borrowers without a housing history are not permitted • Family members or related individuals may not employ borrowers • W2s, Federal Tax Returns, Paystubs, 4506-C are not required • Borrowers may not have any other active source of income; passive income such as rental income may be included • Written Verification of Employment (WVOE) – FNMA 1005 completed with the past 2 years of income/employment. Form must be completed by Human Resources, Payroll, or an Officer of the Company: ○ Two (2) most recent months of bank statements supporting at least 65% of the gross wages reflected in the WVOE ○ Verification of delivery and receipt of the FNMA Form 1005 required • One-year history with the same employer with a minimum of two (2) years in the same line of work	
Asset Utilization	• Qualified Assets must be seasoned for 3 months • Purchase/Rate & Term Refinance: ○ > 85%LTV permitted per the matrix provided when the DTI is <=60% without using assets for income • <u>Option 1: DTI calculation:</u> ○ When the DTI without Asset Utilization is <= 60%, follow the below calculation when determining the amount of income to use as secondary income ○ Monthly Income Calculation: ▪ Net Qualified Assets / 36 Months • <u>Option 2: DTI calculation:</u> ○ When the DTI without Asset Utilization is > 60% or when the borrower's entire income is comprised of income from assets. ○ Monthly Income Calculation: ▪ Net Qualified Assets / 60 Months	

ASSET AND RESERVE REQUIREMENTS

Assets	• 30-day asset verification required • Large deposits > 50% of gross income) must be documented on purchase transactions
Reserves	• <= \$500,000 = 3 months PITIA w/LTV <= 80% • <= \$500,000 = 6 months PITIA w/LTV > 80% • > \$500,000 to \$1,500,000 = 6 months PITIA • > \$1,500,000 to \$2,500,000 = 9 months PITIA

	• > \$2,500,000 to \$3,500,000 = 12 months PITIA • Cash Out proceeds may be used to satisfy reserves • When Asset Utilization is the sole source of income, reserves are not required
Gift Funds	• Gift funds permitted provided borrower meets minimum contribution: ○ 5% primary ○ 10% Second Home and Investment Properties • 100% Gift Funds may be used for down payment and closing cost for Primary Residence and Second Home when the LTV U.S. ≤ 80% • Investment Properties, gift funds are permitted after meeting the minimum 10% borrower contribution regardless of LTV • Gift funds are not permitted to be used towards reserves • Gift of Equity permitted for Primary Residence only

PROPERTY REQUIREMENTS

Property Types	Single Family, PUD, Townhouse (Attached/Detached)	• Single Family residences with 1 or more accessory dwelling units (ADU) are permitted if subject property is in a municipality that allows. • The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables • Refer to 2-4 Units below	
	2-4 Units	• Lower of Matrix LTV or max 85% LTV • 2-4 units with 1 ADU are permitted if subject property is in a municipality that allows. • The Appraiser must specifically confirm compliance with local regulations and provide 2 similar comparables	
	Condominium	• Warrantable / Non-Warrantable: ○ Purchase & Rate & Term Refinance: Max 85% LTV ○ Cash Out: 75% LTV - Limited Review Established Condos Outside of Florida (Warrantable) LTV/CLTV Limits where the building has 5+ units: ○ Primary Residence 85% ○ Second home and Investment Property 75% • Limited Review <u>Established Condos in Florida</u> (Warrantable) LTV/CLTV Limits: ○ Primary residence 75%/90% ○ Second home and Investment Properties: 70%/75% • Condominium leaseholds not permitted	
	Condotel	<u>Primary Residence</u> • Purchase or Rate & Term Refinance: ○ Lesser of Matrix LTV or Max 85% LTV • Cash-Out: ○ Lesser of Matrix LTV or Max 75%	<u>Second Home & Investment Property</u> • Purchase or Rate & Term Refinance: ○ 700+ credit score; lesser of Matrix LTV or Max 75% LTV ○ 680-699 credit score; lesser of Matrix LTV or Max 70% LTV • Cash Out Refinance: ○ 700+ credit score; lesser of Matrix LTV or Max 65% LTV ○ 680-699 credit score; lesser of Matrix LTV or Max 60% LTV
		• Must have a full kitchen & a separate bedroom. • Must be in a resort area or affiliated with a national hotel chain • Max Loan Amount \$1,500,000	
	Co-ops	• Eligible for the Delegated Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes ○ Available in New York City - 5 Boroughs ONLY: Bronx, Brooklyn, Manhattan, Queens & Staten Island • Max 80% LTV	

	Manufactured Housing	• Eligible for the Delegated Correspondent Channel ONLY • Correspondent Clients must use its own Closing Plan Codes. • Requirements: ○ Min 20' wide (Double-wide), min 750+ sq ft, must meet "HUD Code" including being built on a permanent chassis, installed on a permanent foundation, and title as real estate ○ May not be older than 15 years ○ May not be if in need of repairs (as per the appraisal) of more than 5% of the property value • Eligible Transactions: ○ Cash Out not permitted, Primary Residence and Second Home only, minimum credit score 680, Max 80% LTV ○ Investment property and Interest Only loans are not permitted
Rural Properties		• Rural properties permitted for Primary Residence up to 80% LTV; max 20 acres • Second home and Investment Properties may be considered when the subject has <= 2 acres up to a max LTV of 75%
Appraisals		• Second appraisal required for loans > \$2,000,000 • Appraisal Review Product to be ordered on all loans with a FNMA SSR over 2.5, except for those with a full second appraisal
Declining Markets		• As identified by the appraiser, require a 5% LTV reduction off the matrix when > 65% LTV
Acreage		• Max 20 acres Primary Residence & Second Home; max 5 acres Investment Properties

EXPRESS (DU) - REQUIREMENTS

Express (DU)

Follow Flex Select where silent in this section.

Underwriting Method	• FNMA DU only • P&L income type is in eligible • Eligible DU Findings – Approve/Eligible and Approve/Ineligible. ○ Ineligible results are only permitted for items such as loan size, LTV limits, loan purpose or feature. DU cannot be ineligible for a credit event or due to risk factors. • Credit score used to qualify is the credit score from the primary borrower • Extenuating circumstances for derogatory credit are not eligible, i.e., cannot instruct DU to disregard information on credit report(s) to receive an Approve/Eligible • Seller negotiated criteria/variances with FNMA are not eligible • Non -Delegated Correspondents are responsible for providing the DU Findings with the loan submission, and must match the final terms of the loan
LTV/Score Eligibility	• 740-759 credit scores are ineligible for loans with LTV > 85% ; follow standard program requirements
Max Loan Amount & LTV	• \$2,000,000 up to 90% LTV • First time homebuyer max loan amount \$1,500,000
Interest-Only	• Not permitted
Exceptions	• Not permitted
ITIN	• Not eligible
Non-Occupant Co-Borrower	• Primary Residence only • Purchase and Rate & Term Refinance only (non-occupant must be on the current mortgage for a Rate & Term Refinance refinance) • Non-occupant co-borrower must be a relative • Max 90% LTV • The occupying borrower and non-occupant co-borrower ratios may be blended to a max of 50% DTI • Max loan amount \$1,000,000 • Use the primary borrower's credit score, whether it be the occupant or the non-occupying co-borrower
Credit/Housing Events	• Follow AUS except for housing history must be 0x30x12 and no extenuating circumstances for Bankruptcy or Housing Event

Housing History	• 0x30x12 • DU may waive the requirements for a rental history on certain DU casefiles, documentation is still required to support a 0x30x12 history. It is permissible to allow the waiver of cancelled checks for private party VORs when permitted per DU
Income	• Max DTI: 50% • Follow program documentation requirements • Follow program DTI restrictions • Transcripts required for the number of years of income used to qualify on Full Doc loans • P&L Only not eligible • Self-employment < 2 years not eligible
Reserves	• LTVs > 85%: ◦ Up to \$1,500,000 with 760+ credit score = 6 months PITIA • LTV <= 85%: ◦ Loans <= \$2,000,000 follow DU Findings ◦ Loans > \$2,000,000 must meet product reserve requirements
Appraisal	• Reduced Condo Reviews are not permitted. Appraisal waivers (PIW) are not permitted